



Bedrock Enterprises

Profile:

Bedrock Enterprises (BE)

BE on New York Stock Exchange	Change (% chg)	Prev Close \$30.64	Day's High \$30.72	Volume 31,755,795	52-wk High \$32.05
30.6USD 4:00pm EDT	\$-0.04 (-0.13%)	Open \$30.67	Day's Low \$30.45	Avg. Vol 9,088,602	52-wk Low \$19.37

Company Profile

Bedrock Enterprises (BE), incorporated in 1903, is a global digital industrial company. The company's products and services range from information technology solutions to medical imaging, financing and industrial products. The company's segments include Financial, Healthcare and Transportation Services.

Bedrock Financial (BF)

The company's Financial Services division provides financial services and products for individuals as well as institutions, including providing financial services to Bedrock's

transportation and healthcare clients. BF makes the majority of its revenue from three main products:

- **Commercial Lending and Leasing (CLL):** CLL offers working capital and other financial services to mid and large corporates, including those served by Bedrock's Healthcare and Transportation businesses
- **Private Client (BPC):** BPC provides wealth management services for high net worth individuals as well as corporates. Through its network of advisors, Bedrock provides financial services including portfolio management, advisory, trading, and succession planning. BF is one of the most trusted names in this business and they have clients that include presidents, heads of industry, and some of the world's largest pensions.
- **Investment Banking:** BF provides investment banking services to some of the largest corporates in the US. Their claim to fame is taking the lead on the Uber IPO. Currently, BF is looking to sell this business due to increased regulation and changes in market conditions.

Bedrock Healthcare (BHS)

The company's Healthcare Systems division provides essential healthcare technologies to medical imaging, software and information technology (IT), patient monitoring and diagnostics, drug discovery, biopharmaceutical manufacturing technologies and performance improvement solutions. The company's Healthcare Systems provides a range of technologies and services that include diagnostic imaging and clinical systems:

- **Diagnostic Imaging Group:** DIG systems offers X-ray, digital mammography, computed tomography (CT), magnetic resonance (MR), surgical and interventional imaging and molecular imaging technologies to allow clinicians to see inside the human body more clearly.
- **Clinical Systems Group:** CSG products include ultrasound, electrocardiography (ECG), bone densitometry, patient monitoring, incubators and infant warmers, respiratory care, and anesthesia management that enable clinicians to provide care for patients every day from wellness screening to advanced diagnostics to life-saving treatment. Healthcare Systems also offers product services that include remote diagnostic and repair services for medical equipment manufactured by the company and by others.
- **Life Sciences Group:** LSG delivers products and services for drug discovery, biopharmaceutical manufacturing and cellular technologies to predict, diagnose and treat disease. It also researches, manufactures, and markets imaging agents used during medical scanning procedures to highlight organs, tissue and functions inside the human body, to aid physicians in the early detection, diagnosis and management of disease through advanced in-vivo diagnostics.
- **Healthcare IT Group:** HIG provides IT solutions, including enterprise and departmental Information Technology products, Picture Archiving System (PACS), Radiology Information System (RIS), Cardiovascular Information System (CVIS), revenue cycle management and practice applications.

Bedrock Transportation Services (BTS)

The company's Transportation Services division is a supplier to the railroad, mining, marine, stationary power and drilling industries. The Company's Locomotives provide freight and passenger locomotives, as well as rail services to help solve rail challenges. BTS manufactures high-horsepower, diesel-electric locomotives, including the Evolution Series, which meets or exceeds the United States Environmental Protection Agency's (EPA) Tier 4 requirements for freight and passenger applications. The Company develops partnerships that support advisory services, parts, integrated software solutions and data analytics. Its offerings include tailored service programs, high-quality parts for the Company and other locomotive platforms, overhaul, repair and upgrade services, and wreck repair. Its portfolio provides the people, partnerships and software to optimize operations and asset utilization.

Its technology arm, Digital Solutions, offers a suite of software-enabled products. These products support some of the most important functions of transportation related businesses, including routing, system health, and inventory management.

BTS's Mining business provides mining equipment and services, and its portfolio includes drive systems for off-highway vehicles, mining equipment, and mining power and productivity. Its Marine, Stationary & Drilling offers marine diesel engines and stationary power diesel engines and motors for land and offshore drilling rigs.

Business Climate & Identified Objectives

Revenue Objectives

In order to drive revenues, Bedrock Enterprises is looking to target efficiencies across the divisions and business units, from improvements to the sales cycle, to identifying cross-selling opportunities. Each division's management is empowered to spend what they need to, in order to do the job the "right" way. However, they have to be able to justify their decisions. Each business has a responsibility for raising its top line by 25% over the next 4 years.

Internal and externally commissioned studies have found that a viable source of customers can be identified through proactive outreach through such channels as social media, email marketing and SMS messaging. The studies further indicate that both B2B business and consumer demand can be activated through partner/distributor channels in these ways.

Cross-selling has proven to be an effective mechanism to drive more revenue across the business. For example, marketing financial services to customers from other divisions has shown positive results in early testing.

Bedrock Enterprises is looking to get business-line specific visibility as well as corporate roll-ups. They are preparing for their first board meeting where they are going to present the corporate financials from live data. In addition they are looking to include data from multiple sources including forecast data.

Reducing Expenses Through Driving Efficiencies

In order to reduce expenses, Bedrock management has identified a number of key objectives and investment areas:

Shared Services Model: The company is looking to move from a siloed nature to a cross-business shared services model. Finance, HR, Corporate Risk Management, Cyber Security and Global Reporting will be centralized. Marketing, Public Relations, Risk and Compliance will remain aligned with the businesses due to the specialization required for each. Global software engineering and architecture is moving under a single lead, and will be overseen by the CTO. The Global Salesforce Lead will report into the CTO.

Delivery Excellence: Bedrock commissioned a study that said that they can meet their expense reduction goals by centralizing certain capabilities such as release management, architecture, UX, development, customer support, data management.

System Upgrades: The EVP of Human Resources has expressed an interest in replacing their aging internal system with a more modern self-service-type solution that allows employees to

engage more easily with HR, Payroll and Benefits staff to get their questions answered. Automated ticketing and knowledge repositories seem interesting as do systems that provide more instant and direct access to the experts. The Chief Architect has said that whatever system is chosen or built, he must be able to review and approve the data model before the project begins.

100% Compliance: Bedrock has been plagued by legal and regulatory challenges across its Healthcare and Financial businesses. Management is requiring that all businesses invest in compliance over the next year. This is expected to reduce compliance violations that have plagued each of their major lines of business for years.

Business Specific Objectives:

Bedrock Financial

Bedrock Financial provides its services to both corporate and high net worth individuals. Finding new customers continues to be a challenge for BF and they are looking for ways for Salesforce to help. Revenues have been decreasing for the wealth management business since they lost some of their key management to a competitor. Some of the key reasons they gave for leaving were poor systems, bad data, and lack of leads.

Bedrock Financial is looking to create a community for its customers. The community should enable collaboration between advisors and their clients as well as brochureware. The President of BF is looking to create an onboarding journey for new customers (varying by net worth). In addition, she wants to incorporate SMS and other messaging as part of their outreach. They are also highly regulated and all content must be approved by legal. Note: Some of the BF products can be sold by third party providers (i.e. partners), so solutions must consider that requirement as well.

The wealth management business currently runs off a custom developed system called RockStar. This green-screen system is plagued with bad data, and virtually no flexibility. RockStar requires Cobol developers to make updates to the front end, and currently there are only 3 Cobol developers left in the organization, all located in different regions. There is interest in making a significant investment in this business and develop a state of the art system to help turn-around the wealth management business.

The wealth management business has 4 million customers. Each customer has an average of 10 accounts. Each account has between \$2.0 million and \$5.0 million in holdings. They are looking for a recommendation on how to architect a solution to ensure that access to information, reports and analytics can maintain or improve access time as it scales for growth. They see Single Sign On across all systems as critical. They currently use different LDAP/AD and support both on premise and cloud solutions.

Wealth management also wants to create a mobile experience for both their customers and their internal users, that provides real-time feedback on their investments, and the ability for customers to take action on investment recommendations from BFS advisors.

Bedrock Healthcare

Bedrock Healthcare is part of highly regulated medical device and pharmaceutical industry. BH provides medical imaging and information technologies, medical diagnostics, patient monitoring systems, drug discovery, biopharmaceutical manufacturing technologies and performance solutions services.

In 2010, the BH announced significant restructuring at a key manufacturing site, which continued longer than expected. Their primary focus was continuous employee engagement, through open and honest communication. In 2014, they refocused on the future of the site. BH established regular scheduled and ad hoc communication meetings, including Quarterly Management Reviews, and Quarterly Town Hall meetings for all employees. Weekly interdepartmental Dashboard reviews, Monthly Recognition and Reward celebrations and Monthly Roundtables were also established. Although obtaining information from their aging systems was difficult, they manually compiled for the management and dashboard reviews, what wasn't available through their reporting systems.

A culture of celebrating success, volunteering, and diversity was nurtured, along with an ongoing challenge to come up with new ideas and ways to foster employee engagement. BH established a program called "Realize" for employees to identify simplification ideas intended to help them perform their work more easily and/or save the company time and money. The company target was set at 120 ideas per year per site. Revamping their aging reporting system was the the third most submitted idea overall, and was the top technology issue identified.

Bedrock Transportation Services

BTS has decided to establish a Transportation Simulation Lab with a goal to achieve new levels of performance without compromising fuel economy. The simulation modeling and integration team will standardize concurrent real-time solutions by investing in hardware-in-the-loop simulation that uses hardware system components and prototypes as part of the simulation. By using real-time temperature, pressure, acceleration and other sensors on real locomotive hardware during simulated conditions, many problems will be solved and new efficiencies are developed before the metal ever meets the rail.

Objectives:

- Mile-by-mile simulations of rail conditions to develop optimal locomotive/train configuration

- Fault injection duplicating worst-case scenarios without endangering operators
- Shorter time to market and reduced development time and costs
- National Institute of Standards certification ensures the highest levels of quality and compliance
- Multi-generation capabilities cover changes to locomotives over the course of their lifecycle
- Fuel savings of up to 17% depending on the type of service and rail topography
- Intuitive, easy-to-learn debugging and analytics on data captured from the simulations

Conclusion

The management of Bedrock Enterprises has asked you and your team to come up with suggestions on how to help improve their business so they can both meet their short term objectives and ready themselves for the next 120 years of business.